

Glossary of Key Terms

Term	Definition
Adverse selection	Occurs when only those who are most at risk buy insurance, causing insured losses to be greater than average losses.
Assets	Items that have value. They are categorized as either real assets or financial assets.
Banks	Financial institutions that collect deposits from savers and transform them into loans to borrowers. Also called deposit-taking or depository institutions.
Brokers	Trading service providers that act as agents, helping buyers and sellers find and trade with each other.
Capitalism	An economic system that promotes private ownership as the means of production and markets as the means of allocating scarce resources.
Dealers	Trading service providers that act as principals, using their own accounts and capital to trade with buyers and sellers.
Debt securities	Loans that lenders make to borrowers, who are expected to repay the loans and make interest payments. Also known as bonds or fixed-income securities.
Direct finance	The movement of funds through financial markets, where providers of capital have a direct claim on the users of capital.
Endowment funds	Long-term funds of not-for-profit institutions, such as universities, colleges, schools, museums, and hospitals.
Equity securities	Claims that represent ownership in a company. Also called stocks, shares of stock, or shares.
Financial assets	Claims on real, or possibly other financial, assets.
Financial intermediaries	Institutions that act as middlemen between savers and spenders, channeling funds between them.
Financial markets	Places where buyers and sellers trade securities. Also known as securities markets.

Financial services industry	An industry that offers a range of products and services to savers and spenders and helps channel funds between them.
Financial system	A system that helps link savers who have money to invest and spenders who need money.
Foundations	Grant-making institutions funded by financial gifts and by the investment income that they produce.
Fraud	The act of deliberately causing or falsely reporting losses to collect insurance settlements.
High-net-worth investors	Individual investors who have a higher amount of investable assets.
Indirect finance	The process where financial intermediaries act as middlemen between savers and spenders, so that savers do not have direct claims on spenders.
Individual investor	A person who has investments.
Institutional investors	Organizations that invest either for themselves to advance their missions or on behalf of others.
Insurance companies	Financial intermediaries that help individuals and companies offset the risks they face by connecting buyers of insurance contracts with providers of capital willing to bear the risks.
Investment banks	Financial intermediaries with expertise in assisting companies and governments to raise capital. Also known as merchant banks.
Investment industry	A subset of the financial services industry comprising all participants instrumental in helping savers invest their money and helping spenders raise capital in financial markets.
Laws	Rules passed by a legislative body, such as a parliament or congress.
Liquidity	The ease of buying or selling an asset without affecting its price.
Moral hazard	Occurs when people are less careful about avoiding losses once they have purchased insurance.
Pension plans	Institutions that hold and manage investment assets for the benefit of future and current retired people (beneficiaries).

Real assets	Physical assets, such as land, buildings, machinery, cattle, and gold.
Regulations	Rules created by agencies, such as a country's securities administrators or financial markets authority.
Retail investors	Individual investors who have the lowest amount of investable assets.
Risk	The effect of uncertain future events on an organization or on the outcomes it achieves.
Securities	Financial assets that can be traded. The two largest categories are debt and equity securities.
Sovereign wealth funds	Funds that typically invest a government's surpluses for the benefit of current and future generations of its citizens.

Study Guide: The Investment Industry

Short-Answer Quiz

Answer the following ten questions in 2-3 sentences each, based on the provided source material.

1. What is the primary function of the financial system and the financial services industry?
2. Differentiate between direct finance and indirect finance.
3. Explain the key differences between debt securities and equity securities.
4. Describe the role of banks as financial intermediaries.
5. How does the investment industry contribute to the efficient allocation of scarce resources in an economy?
6. What is liquidity in the context of financial markets, and why is it important for investors?
7. Why are trust, laws, and regulations considered essential for the investment industry?
8. Distinguish between the roles of brokers and dealers in facilitating trades.

9. Briefly describe the main categories of institutional investors that invest to advance their missions.
 10. Identify the four key forces that drive the evolution of the investment industry.
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Answer Key

1. The primary function of the **financial system** is to link savers who have money to invest with spenders who need money. The **financial services industry** supports this function by offering a range of products and services that help channel funds between these two groups.
2. **Direct finance** is the movement of funds through financial markets where providers of capital have a direct claim on the users of capital, such as owning a company's stock. **Indirect finance** involves **financial intermediaries**, like banks, who act as middlemen, meaning the saver has a claim on the intermediary, not directly on the end borrower.
3. **Debt securities** are loans that borrowers are expected to repay with interest, also known as bonds or fixed-income securities. In contrast, **equity securities** (stocks or shares) represent an ownership interest in a company with no obligation for repayment or dividends, offering potential returns from price increases and possible dividend payments.
4. **Banks** act as financial intermediaries by collecting deposits from savers and transforming them into loans for borrowers. This process indirectly connects savers with borrowers, as the saver has a claim on the bank through the deposit, and the bank has a claim on the borrower through the loan.
5. The **investment industry** promotes efficient resource allocation by helping savers find suitable investment opportunities and spenders find capital without engaging in time-consuming searches. It provides and processes information to help determine asset values, which ensures capital flows to its most productive uses and fosters economic growth.
6. **Liquidity** is the ease of buying or selling an asset quickly without significantly affecting its price. It is crucial for investors because highly liquid markets allow them to complete transactions rapidly and provide confidence that they are receiving a fair price for their security at that moment.
7. Trust is essential because, without it, savers would be reluctant to invest their capital, which would be detrimental to the economy. **Laws** and **regulations** provide a necessary framework to ensure investors are treated fairly, prevent fraud, and maintain the integrity, transparency, and fairness of financial markets.

8. **Brokers** act as agents, meaning they facilitate trades by helping buyers and sellers find one another without trading directly with them. In contrast, **dealers** act as principals, using their own capital and accounts to trade with investors, thereby "making markets" in securities.
 9. Institutional investors that invest to advance their missions include **pension plans**, which manage assets for retirees; **endowment funds**, which are long-term funds for not-for-profit institutions like universities; **foundations**, which are grant-making institutions; and **sovereign wealth funds**, which invest a government's surpluses.
 10. The **investment industry** is driven by two internal forces: competition, which spurs innovation, and technology, which lowers costs and increases capacity. It is also shaped by two external forces: globalisation, as investors seek opportunities in foreign markets, and regulation, with a global trend toward greater industry oversight.
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Essay Questions

Answer the following questions in a comprehensive essay format. Answers are not provided.

1. Using the example of the Canadian entrepreneur, trace the evolution of a company from its initial need for capital to becoming a public company. Describe the key investment industry participants and processes involved at each stage as outlined in the chapter.
2. Discuss the dual role of insurance companies as both financial intermediaries and major investors. How do their activities as intermediaries, including managing risks like fraud, moral hazard, and adverse selection, relate to their function as large-scale investors in financial markets?
3. Explain in detail how a well-functioning investment industry benefits both the broader economy and individual investors. Your answer should cover concepts such as capital allocation, information processing, liquidity, competitive markets, and risk management.
4. **Capitalism** is described as an economic system that promotes private ownership and markets for allocating scarce resources. Analyze the role of the investment industry as a fundamental pillar of a capitalist economy, explaining how it helps address the three core questions that economic systems must answer.

5. "Trust is essential to the proper functioning of the financial system." Elaborate on this statement by explaining the interplay between trust, ethical behavior, laws, and regulations in the investment industry. Why can't laws and regulations alone guarantee the integrity of the market?
